

https://www.linkedin.com/posts/devchandra_fundraising-2025-trends-activity-7334634055461736449-BJ6O/?utm_source=share&utm_medium=member_desktop&rcm=ACoAAA7eDpEBRceyMINHbiaQ4-7SCb5zNNdKV7I

Product Hunt: <https://www.producthunt.com/shoutouts>

Only 15% of seed startups reach Series A

In 2021, that number was 40%.

The bar is higher, the competition is tighter, and

Investors are far more selective.

1. Is raising a Series A still possible? Technically, yes. Realistically? It's a battlefield.

Back in 2021, **40% of seed-stage startups** progressed to Series A.

Today? That figure has plummeted to **15%**.

The bar isn't just higher, it's been redefined. Investors now demand:

Proof before product

Story before scale

Traction before the team

You're expected to present:

- **\$ 200 K+ in Monthly Recurring Revenue (MRR)**
- **Consistent 25 %+ Month-over-Month (MoM) growth**
- **A clear path to profitability**
- **Burn rate under 12 months**
- **Clean cap table**

thefoundersmagazine.com

Sources: [Founder Institute Benchmarks](#), [Capital VC Series A Checklist](#)

All this, often **before** you've fully built your team or finalized your product.

Yet, some startups are breaking through:

- [Pano AI](#) secured a \$44 million Series B round by demonstrating substantial traction and contracts exceeding \$100 million in the wildfire detection technology space. [wsj.com](#)
- [Vivodyne](#) raised a \$40M Series A, leveraging AI and robotics to accelerate drug discovery, showcasing strong product-market fit. [topstartups.io+1businessinsider.com+1](#)
- [Neysa](#) garnered \$30M in Series A funding by providing AI infrastructure services, highlighting the demand for scalable AI solutions. [en.wikipedia.org](#)

These successes underscore that while the path is steeper, it's navigable with the right metrics and momentum.

If you're navigating this challenging landscape and building through the noise, you're not alone.

#startups #founders #SeriesA #venturecapital #earlystage #founderjourney

*Half of the seed rounds are bridge rounds:
They're "bridge" extensions under new names:
Seed+, Pre-A, C++.*

Startups are trying to buy time.

2. Half of the seed rounds aren't seed rounds anymore.

They're bridge rounds in disguise.

We just gave them fancier names:

→ Seed+

→ Pre-A

→ C++ (yes, someone called it that 🙄)

Let's be honest:

Founders aren't ready to scale.

They're raising to buy time, to hit the traction that VCs used to ignore... and now require.

In Q1 2025, Carta reported that bridge rounds made up 52% of all seed financings, up from 35% just two years ago.

According to Axios, the median time between seed and Series A has stretched from 18 months to 28+ months, while fewer startups are securing true Series A rounds at all.

But for those that do breakthrough? They're raising larger rounds at higher valuations, and the market is disproportionately rewarding the top 10%.

Real-world example:

Startups like PostHog and Humane recently extended their seed and pre-A rounds to buy time for stronger traction, not because they weren't building, but because they knew how hard Series A had become.

This isn't a complaint. It's just the new reality.

If you're raising right now and it feels like you're explaining your entire existence just to buy 6 more months of runway, you're not crazy.

You're just early.

And early-stage?

It isn't what it used to be.

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Valuations are higher than ever for AI startups

Median pre-money: Seed (\$18M), Series A (\$50M)

If investors want you, they'll pay.

But they're funding fewer startups overall.

3. AI startup valuations are wild again, but don't let the numbers fool you.

→ Median pre-money valuations:

Seed = **\$18M**

Series A = **\$50M**

(Yes, we're back to those numbers.)

But here's the catch:

If investors want you, they'll pay.

If they don't, it's radio silence.

It's not that there's no money out there; it's that there are fewer checks, going to fewer startups.

This market is binary:

You're either "AI hot" or "waitlisted indefinitely."

Fewer startups are raising.

But the ones that are? They're raising big.

Why?

Because this isn't a spray-and-pray season.

It's a sniper market.

Investors don't reward effort.

They reward:

→ Momentum

→ Signal

→ The perception of inevitability

And some teams are making it happen:

1. [AndrenaM](#) — A defense-tech AI startup raised \$10M in just 36 hours to reinvent sonar sensing.

2. [Lovable](#) — A vibe-coding AI platform hit \$17M ARR in months and is reportedly raising at a \$ 1.5 B+ valuation.
3. [Repello AI](#) — An AI security startup raised \$1.2M in seed to build next-gen threat detection.

These aren't outliers, they're signals.

Yes, it's harder.

But it's possible.

So what do you do?

You build anyway.

You get sharper.

You make it impossible to ignore.

Because hype is temporary.

But momentum? That's earned.

Build like you're already in that top slice, and then give them numbers they can't argue with.

#startups #AI #venturecapital #fundraising #seedstage #SeriesA #founderfocus #startupintros
#snipermarket

Sources:

[Carta Q1 2025 Report](#)

[Axios: Venture capital is stalling at seed](#)

*Fundraising timelines are getting longer as
The typical 18-24-month cadence is breaking down.
Some founders aren't raising again cause they can't.
Others aren't, because they don't need to.*

4. The 18–24-month fundraising cycle? It's breaking down.

Used to be:

Raise seed.

Build.

18 months later, go again.

Now?

Some founders aren't raising again...

→ Because they can't.

The market's brutal. Intros are dry. Terms are worse.

Others aren't raising...

→ Because they don't need to.

They stayed lean. They became profitable. Or they stopped playing the VC game altogether.

Either way, the timeline is no longer the timeline.

Founders are adapting.

Some are stretching their runways.

Others are skipping rounds entirely.

And a few are quietly building empires, *no cap table drama, no dilution, no "next round" pressure.*

Examples of founders doing it differently:

1. [Rewind AI](#) raised \$12M in seed in 2023, stayed lean, and turned down multiple Series A term sheets, betting on growth without dilution.
2. [Diagram](#) bootstrapped post-seed, grew revenue-first, and didn't raise again for over 3 years, now profitable.
3. [Notus](#) delayed their next raise by 18+ months using just seed capital, AI tooling, and low burn, with Carta tracking their run extension in the latest report.

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#startupintros

*SF still dominates AI venture capital
The Bay Area pulls in 50% of early-stage AI funding
And 75% of late-stage AI capital.
If you're raising in AI, this is still the place to be.*

5. San Francisco still runs the AI table.

→ In 2024, the Bay Area secured \$62 billion in AI startup funding, accounting for 60% of global AI investment. (startupthub.ai)

→ Overall, the region attracted \$81.4 billion in tech funding, capturing over 50% of U.S. venture capital. (opentools.ai)

Say what you want about the scene...

But if you're building in AI and you're raising, this is still the place to be.

Yes, the cost of living is wild.

Yes, the rent is offensive.

Yes, the coffee is \$6, and you still tip.

But what do you get in return?

→ Access to top-tier investors and talent.

→ Signal that attracts attention and credibility.

→ Velocity in scaling and networking.

→ Rooms that get what you're building.

The Bay isn't perfect.

But when it comes to AI, it's still the epicenter.

Until that changes, you know where the game is played.

#AI #startups #venturecapital #founders #sanfrancisco #earlystage #SeriesA #startupintros

Sources: [Crunchbase x HumanX AI Funding Report\(humanx.co\)](https://humanx.co)

[Tracxn US Tech Annual Report 2024\(w.tracxn.com\)](https://www.tracxn.com)

Startups are hiring fewer people, and

They are hiring later and later as

Startups are delaying making that first hire.

AI tools are now doing what used to require full teams.

6. This is the era of the first one-person billion-dollar company

That first hire?

It used to come fast.

Now, founders are pausing because:

→ Runways are tight

→ Burn scars keep us cautious

→ AI now does the work of entire teams

It's not just "do more with less."

It's: do more with fewer humans.

"AI won't replace humans, but people who can use it will." – Roger Spitz

"Automation isn't replacing people, it's replacing mind-numbing behavior."

– Stewart Butterfield

Founders are now:

Writing code with copilots

Running ops via Notion, Zapier, ChatGPT

Closing deals solo, no SDRs, no assistants

Here's how lean teams are crushing it:

1. [Cursor](#) / [Anysphere](#) – Built an AI coding assistant and hit \$100M ARR with just 20 people in ~2 years ([datalumina.com](#), [techtimes.com](#), [businessinsider.com](#), [forbes.com](#), [tullopy.com](#), [barryoreilly.com](#), [pylessons.com](#), [analyticsindiamag.com](#)).
2. [MidJourney](#) – AI art powerhouse reached \$200M ARR with only 10 staff ([analyticsindiamag.com](#)).
3. [Lovable](#) – European "vibe-coding" startup hit \$10M ARR in 60 days with just 15 team members ([analyticsindiamag.com](#)).

This isn't about replacing people, it's about *surviving* long enough to deserve them.

The new hiring strategy?
Stay lean. Stay sharp. Ship faster.

Teams are leaner across the board.

*In 2022, Series A startups had around 22 employees.
In 2024, it's down to 15. For AI startups, just 12.*

Small, fast, and capital-efficient is the new standard.

7. Teams are getting leaner, faster.

Back in 2022, a typical Series A startup had ~22 employees.
Today?
15.
And for AI startups? Just 12.

This isn't a fluke.
It's the new standard:
Small. Fast. Capital-efficient.

Founders aren't hiring early.
They're:
Automating
Outsourcing
Delaying that first full-time hire as long as they can
Because the runway is oxygen, and bloated teams burn fast.

Lean isn't just a strategy anymore; it's survival.

Examples of lean AI teams in Series A:

1. [Safe Superintelligence](#) – Hit unicorn status with ~20 employees at Series A and a \$1B+ valuation.
2. [Cursor](#) / [Anysphere](#) – Built a full AI coding copilot with under 50 staff, scaling to \$100M ARR before growing headcount.
3. [Hedra](#) – Achieved a \$200M valuation on a 20-person team and ~3 million users after raising a \$32M Series A.

Forbes' AI 50 report shows median headcount for top AI startups is just 89, down from 150 last year.

This isn't about replacing people, it's about surviving long enough to deserve them.

The new hiring playbook: Stay lean. Stay sharp. Ship faster.

ARR per FTE is the new investor metric. Know it!

It is revenue generated per full-time employee (FTE).

Efficiency now, more than ever, shows

How well do you leverage both capital and AI?

8. ARR per FTE is the new investor obsession.

Not CAC, retention, or LTV.

It's: How much ARR does your team generate?

ARR = Annual Recurring Revenue

FTE = Full-Time Employee

ARR / FTE = Real efficiency

Because in 2025, investors don't just want growth.

They're looking for teams who:

Leverage capital

Leverage AI

Avoid hiring bloat

You're not building a product anymore.

You're building a machine that turns people + compute into revenue.

If you're not tracking ARR per FTE yet, you're already behind.

Three standout examples:

1. [Bolt.new](#) reportedly hit **\$20M ARR in just 2 months**, built with a bootstrapped (~20-person) team, implying **~\$1M ARR per FTE**.
2. [Lovable](#) soared to **\$10M ARR in 2 months** with **15–18 people**, averaging well over **\$500K ARR per person** ([startupspells.com](#))
3. [Cursor](#) / [Anysphere](#) reached \$100M ARR in 21 months, on a team under 20, delivering >\$5M ARR per FTE, arguably one of the fastest-growing lean teams in AI ([absolutelyagentic.com](#))

Benchmark context: Top-performing SaaS and AI startups often produce \$200K+ ARR per FTE, but these examples are operating an order of magnitude above that ([dealroom.co](#)).

So what now?

Track your ARR per FTE. Benchmark aggressively. Keep your team tight, your revenue high, and your runway long. Because efficiency isn't optional anymore, it's table stakes.

Option pools are shrinking

Founders are reserving less equity for hiring with 6-8% instead of the typical 10-20%.

Because they don't need as many people. Or any yet.

9. Option pools are shrinking. Fast.

Used to be:

→ 10–20% reserved for hiring.

Today?

→ Most founders are setting aside just 6–8%.

Why the shift?

→ Teams are smaller

→ AI is doing what 2–3 roles used to

→ In the early days, you might not need anyone yet

The old model assumed:

→ Hire early

→ Hire fast

→ Hire big

The new model?

→ Build more with fewer people

→ Delay dilution

→ Extend the runway

→ Stay scrappy

Option pools aren't disappearing. They're evolving, just like the teams they serve.

Data & benchmarks:

- Over **50%** of startups set aside 10–20% for option pools historically (ltse.com, trica.co).
- [Carta](https://carta.com) notes the average time between funding rounds is 18–30 months, aligning pool size with hiring forecasts.
- FinanceFacts reports standard pools range from 15–25% in the early stages (carta.com).

But today's lean AI-first founders are resizing pools to 6–8%, a strategic move to preserve equity and reflect real hiring needs in a fast-scaling world.

Founders don't need a big pool upfront. They need a smart pool.

The new equity playbook:

1. Bottom-up sizing, align pool with actual hires until next raise (techcrunch.com, carta.com)
2. Choose pre- or post-money allocation strategically to minimize dilution (aaronhall.com)
3. Refresh grants only if your growth and hiring justify it (fastercapital.com)

Founders: Rethink your bifurcation.

Large pools aren't workouts, they're dilution machines.

Lean pools are runway builders.

#startups #equity #optionpool #earlystage #founders #leanteams #AIstartups #startupintros

*Fewer startup winners are raising, but
They're raising bigger as valuations are way up.
But only a narrow slice of startups are getting funded.*

If you get into that group, the upside seems way larger.

~~1. Fewer startups are raising. But the ones that are? They're raising big.~~

~~Valuations are up.~~

~~—— Rounds are larger.~~

~~—— But here's the truth:~~

~~—— Only a narrow slice is getting through the filter.~~

~~This market doesn't reward effort.~~

~~—— It rewards momentum.~~

~~—— It rewards the signal.~~

~~—— It rewards the *perception* of inevitability.~~

~~If you're not in that slice, it's rough.~~

~~—— If you *are*, the upside has never looked better.~~

~~This isn't a spray-and-pray season.~~

~~—— It's a sniper market.~~

~~Your job?~~

~~—— Build like you're already in that top tier, and back it up with traction they can't ignore.~~

~~#startups #venturecapital #fundraising #founders #earlystage #SeriesA #startupintros #AIstartups~~